

accomplishes this goal for any significant period of time, it is bound to be faced with a host of potential competitors. If the potential competitors actually enter the field, they will cut into markets the established company now has. Normally, when potential competition becomes actual competition the ensuing struggle for sales results in anything from a minor to a major reduction in the high profit margin that had theretofore existed. High profit margins may be compared to an open jar of honey owned by the prospering company. The honey will inevitably attract a swarm of hungry insects bent on devouring it. In the business world there are but two ways a company can protect the contents of its honey jar from being consumed by the insects of competition. One is by monopoly, which is usually illegal, although, if the monopoly is due to patent protection, it may not be. In any event, monopolies are likely to end quite suddenly and do not commend themselves as vehicles for the safest type of investing. The other way for the honey-jar company to keep the insects out is to operate so much more efficiently than others that there is no incentive for present or potential competition to take action that will upset the existing situation.

Now let us turn from this background discussion of relative profitability to the heart of the third dimension of conservative investing—namely, the specific characteristics that enable certain well-managed companies to maintain above-average profit margins more or less indefinitely. Possibly the most common characteristic is what businessmen call the “economies of scale.” A simple example of economy of scale: A wellrun company making one million units a month will often have a lower production cost for each unit than a company producing only 100,000 units in the same period. The difference between the cost per unit of these two companies, one ten times larger than the other, can vary considerably from one line of business to another. In some there may be almost no difference at all. Furthermore, it should never be forgotten that in any industry the larger company will have a maximum advantage only if it is exceedingly well run. The bigger a company is, the harder it is to manage efficiently. Quite often the inherent advantages of scale are fully balanced or even more than balanced by the inefficiencies produced by too many bureaucratic layers of middle management, consequent delays in making decisions, and, at times, the seeming inability of top executives in the largest companies to know quickly just what needs corrective attention in various subdivisions of their far-flung complexes.